

## **Customer Retention Playbook (90-Day Plan)**

**Based on analysis of 3,900 customers.**

### **Executive Objective**

Increase retention, reduce coupon dependency, and grow the Champion segment while improving profitability.

### **P1 — Protect High-Value Customers**

Target: Organic Champions (539 customers)

Actions: Stop blanket coupons, launch VIP perks, early access, exclusive collections, free shipping upgrades.

KPI: Retention Rate >95%, Repeat Purchase Rate, AOV Growth.

### **P2 — Reduce Promo Dependency**

Target: Promo Loyalists (406 customers)

Actions: A/B test Points vs Discounts, gradually reduce discount levels from 20% to 15% to 10%.

KPI: Coupon Usage Rate, Repeat Purchase Rate, Margin per Customer.

### **P3 — Reactivate At-Risk Customers**

Target: 974–975 At-Risk/Dormant customers.

Actions: 4-step win-back email flow (Day 1, 7, 14, 21).

Target: 15% reactivation.

### **P4 — Category-Based Retention**

Use cross-sell recommendations across Clothing, Footwear, Accessories, and Outerwear to increase repeat purchases and basket size.

### **P5 — Geographic Expansion**

Focus on Alaska, Arizona, and Virginia using localized advertising, referral incentives, and targeted campaigns.

### **P6 — Loyalty Program Redesign**

Implement Bronze, Silver, Gold, and Champion tiers. Reward engagement with points, early access, and free shipping instead of blanket discounts.

### **Retention Dashboard KPIs**

Customer Retention Rate, Repeat Purchase Rate, Reactivation Rate, Promo Dependency %, Champion Retention %, Revenue per Customer, Margin Recovery, Loyalty Tier Migration.

### **Expected Business Impact**

\$172K+ margin recovery from promo removal, ~\$207K reactivation opportunity, and ~\$258K additional margin upside from promo optimization.